At first the solution to the problem was simple - to break its own rules. Instead of maintaining a 1:1 ratio In order to replace the hard to manage metal, the value of trust became more important. It no longer mattered if there was enough gold or silver to represent the currency value, what mattered was if everybody was still willing to accept the currency itself. And as long as the currency was backed by a sovereign nation and government that was trustworthy trade could continue. This realisation eventually led to the abolishing of the gold standard by US President Richard Nixon at the 1971 meeting of the Bretton Woods Conference. The United States ended its USD to gold convertibility and declared the dollar to be a fiat currency which essentially led the US dollar to replace gold in the reserves of most countries.

Uncle Sam wants you to shut up and follow the gold standard.

So to the question of what gives currency its value - the trust of its users and its continued demand. Trust and demand. As long as something, anything - oil, gold, pieces of specially stamped paper, digital currency - is in demand it will have value. In the modern economy the one object that was the widest possible demand is currency - some more than others. And the reason behind that demand is the inherent trust of the users that everyone else also wants it. Any currency would be useless if nobody wanted it. It seems like a strange trick but it's the foundation of modern economics.

As long as enough people believe in the value of money the global engine of trade keeps on running. If suddenly people lost faith in the value of currency it would be nothing more than bits of paper and metal. As long as this dual coincidence of wants remains in an economy currencies will always have value. Of course, the relative value of currencies differs - since that is based on a multitude of factors - the biggest one being the demand of the currency itself. The reason the US dollar is considered most valuable is because it is the one currency that is globally in demand.

This strange circular logic of coincidental wants grew from a more rational foundation - that after the Second World War the only country that was prosperous in the world was the United States. Most nations were indebted to it in huge amounts or had been devastated by the war.